

Contemporaneous meeting notes for use with other resources in preparation of draft minutes
MEMBERS – PERSONS appearing – BRIEF DESCRIPTION – DECISIONS. RSA 91-A:2.

The Claremont City Council held a meeting on Wednesday, February 11, 2026, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Girard at 6:00 p.m.

Members of the Council present:

Ward I Councilor Andrew O’Hearne
Ward II Councilor William Greenrose
Ward III Councilor Christopher Irish
Assistant Mayor Debora Matteau
At-Large Councilor Christopher Cogswell
At-Large Councilor Wayne Hemingway
At-Large Councilor William Limoges
At-Large Councilor Nicholas Koloski
Mayor Dale Girard

Also present:

Nancy Bates, City Manager

AGENDA CHANGES

Councilor O’Hearne requested to move New Business item I to C.
By consensus Council agrees.

REPORT OF THE SECRETARY

A motion was made by Councilor Koloski and seconded by Councilor O’Hearne to accept the minutes of the January 28th, 2026, City Council meeting.

Voice vote:

Irish – yes
Hemingway – yes
Limoges – yes
Koloski – yes
Matteau – yes
Greenrose - yes
Cogswell – yes
O’Hearne - yes

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Girard – yes
Motion carried 9-0

MAYOR'S NOTES

Parks and Recreation's Winter Fest started yesterday and will go through Sunday.

Arrowhead will hold their cardboard sled race this Sunday at noon.

The 5k was rescheduled to this coming Sunday at 10:00 am.

Parks and Recreation will hold a father-daughter dance Friday February 20th.

The end of the month Parks and Recreation will start the Twin State Valley Youth Basketball tournament running from February 23rd through March 7th.

CITY MANAGER'S REPORT

Earnest Montenegro sent in a letter to the City Manager's office asking to display a portrait he created of the former City Manager Guy Santage.

By consensus Council agrees to have the City Manager gather more info.

There have been positive results from the LinkedIn postings. There is a new vacancy for the Chief Health Officer.

Manager Bates gave a shout out to Chief Chamberlain for his coverage in the City Manager role. Another Kudos was given to the Director and Assistant Director of Public Works for filling in to plow early Saturday morning.

Fire and Teamsters union negotiations are ongoing.

Procurement Policy committee had their first meeting it was productive and will hold a second meeting soon.

Manager Bates noted the Personnel Advisory Board is looking for citizen members.

An option for the Celebrate Claremont Event to be in conjunction with the July 4th events was presented. Mayor Girard noted July 4th would be preferred.

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APPOINTMENT TO BOARDS AND COMMITTEES

Energy Advisory

A motion was made by Councilor O’Hearne and seconded by Assistant Mayor Matteau to appoint Misty Hook to the Energy Advisory Board.

Voice vote:

O’Hearne – yes
Cogswell – yes
Greenrose – yes
Matteau – yes
Koloski – yes
Limoges – yes
Hemingway – yes
Irish - yes
Girard – yes
Motion carried 9-0

Councilor Koloski would like to see councilor seats on the Parks and Recreation commission.

NON-PUBLIC - RSA 91-A:3, II(c)

NON-PUBLIC SESSION PURSUANT TO RSA 91-A:3,II(c) – *Matters which, if discussed in public, would likely affect adversely the reputation of any person, **other than a member of this board**, unless such person requests an open meeting. This exemption shall extend to include any application for assistance or tax abatement or waiver of a fee, fine or other levy, if based on inability to pay or poverty of the applicant.*

A motion was made by Assistant Mayor Matteau and seconded by Councilor Greenrose to enter Nonpublic Session pursuant to RSA 91-A:3,II(c) and to invite City Manager Bates, and Tammy Webb into the session.

Roll call vote:

O’Hearne – yes
Cogswell – yes
Greenrose – yes
Matteau – yes
Koloski – yes
Limoges – yes
Hemingway – yes
Irish - yes

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Girard – yes
Motion carried 9-0

Entered nonpublic session at 6:13 p.m.

Stop recording public meeting (if applicable)

Description of matters discussed and decisions made (*note: any votes taken in non-public must be by roll call vote, with the vote of each member included in the minutes of the nonpublic session and should be either repeated or disclosed immediately upon exiting non-public session.*)

Discussed audit report for FY2024, non-public document, and past personnel involved performance.

Motion to leave nonpublic session and return to public session by Councilor O’Hearne, seconded by Councilor Greenrose. (**Majority vote by roll call.**)

Roll call vote:
O’Hearne – yes
Cogswell – yes
Greenrose – yes
Matteau – yes
Koloski – yes
Limoges – yes
Hemingway – yes
Irish - yes
Girard – yes
Motion carried 9-0

Public session was reconvened at 6:46 p.m.

These minutes recorded by: Assistant Mayor Matteau

CITIZEN’S FORUM

Mayor Girard gave reminder that Citizen’s forum is designed to allow you the opportunity to make the Council aware of your concerns. Please state your name and ward number, we ask you to address your concerns directly to the Council. The Council Manager will not be responding to you during this time. You are limited to five minutes on any non-agenda items. In the back of the room please write down your contact information if you’d like to be contacted as well as your concern on the clipboard for follow-up.

No one spoke, Mayor Girard closed Citizen’s Forum.

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NEW BUSINESS

FY24 Audit

Tammy Webb from Vachon Clukay and shared a presentation where it was reported the City achieved unmodified or “clean” opinions.

The City’s ending fund balance is \$2,331,000 higher than originally budgeted.

Total budgetary fund balance as of 6/30/24 is \$8.6 million.

There were 3 major programs in the current year:

Community Development Block Grants (\$1,266,000).

Highway Planning and Construction (\$1,100,000).

Coronavirus State and Local Fiscal Recovery Funds (\$1,913,000).

A material weakness was reported on internal control over major federal programs.

There were numerous material audit adjustments proposed.

The grant activity was recorded on the cash basis, which is not consistent with generally accepted accounting principles.

An inventory count of the items held for the water and sewer departments was not done.

Credit card purchases - various receipts not retained or missing; also noted items being shipped to an individual’s address

Tolles Home - treasurer is the only individual approving disbursements.

Payroll:

- a. incorrect hourly rate paid to an employee
- b. an approved payroll register could not be located
- c. overtime rates could not be duplicated

FY27 Budget Hearing Schedule – Public Hearing

Manager Bates is asking Council to consider a Saturday budget session, and reserved an extra day on June 17th in case its needed.

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Councilor Irish asked if Zoom was okay.

Councilor Koloski noted that he finds great value to take tours of facilities and to use the city bus.

Councilor O’Hearne asked to make sure this isn’t interfering with other boards.

Councilor Koloski may not be able to do Tuesdays.

Mayor Girard insisted the City Manager look into different dates and bring back to Council.

Mayor Girard opened a public hearing, no one spoke. Mayor Girard closed the public hearing.

CDA Discussion

Memorandum

To: Honorable Mayor, Assistant Mayor, and City Council
From: Nancy Bates, City Manager
Date: February 5, 2026
Re: Claremont Development Authority Operations

Over the last two years, I have attended many Claremont Development Authority (CDA) meetings, first as the City’s Finance Director, and more recently as the City Manager. From the first CDA meeting I attended, there were clear signs that the CDA was struggling financially. Additionally, the CDA had been running grant projects through the City’s Finance Department, rather than through their own accounts. While this is not egregious since the CDA shares an EIN with the City, as the Finance Director, I felt it important to explain to former Director Merrill that this was not proper procedure and did not give a clear financial picture of the CDA and its projects. This correction was made. However, as I got more involved with the CDA, it was apparent there were deeper issues.

Of note, was the 56 Opera House Square project. The tenant was consistently late with monthly obligations since the very beginning of the project in November of 2023. I raised concerns about this almost immediately after I started attending CDA meetings. Projecting out, and considering other current projects and rents, I predicted the CDA would find itself in a

negative financial position if the situation was not addressed. I relayed this information to former City Manager Manale.

Now, two years later, the 56 Opera House Square tenant is several months behind on all monthly obligations, including property taxes. I understand there is hope that grant monies will be made available soon to cover the outstanding balances, but this has not come to fruition as of today. There remains over \$8,000 in arrearages, in total, for 56 Opera House Square.

The delinquency has made it necessary for the CDA to use rents and other income to cover the expenses for 56 Opera House Square. Subsequently, in February, the CDA did not have enough operating cash to cover expenses. To make up the deficit, it is my understanding \$10,000 was transferred from the CDA savings account to the CDA operating account.

I have the following concerns regarding the current operations of the CDA:

- 1. **Misapplication of Funds:** The 56 Opera House Square tenant's continued delinquency has compromised the CDA's ability to cover its normal budgeted expenses because the revenue meant to cover those expenses has been used to cover tenant delinquencies.*
- 2. **Property Tax Delinquency:** Even though the tenant pays the property taxes directly, 56 Opera House Square is in the name of the CDA, a subsidy of the City of Claremont. A delinquent taxpayer is not the image we want for the City.*
- 3. **Failure to Perform the Duties of a Landlord:** The CDA has issued letters of delinquency to the tenant of 56 Opera House Square, however, these were sent out just last week, with a 60-day remedy period. Given the payment history and the tenant's claims of no funds, it is unlikely the CDA will receive all the arrearages before the 60-day remedy period is over, thus further compromising the CDA's position. The 56 Opera House Square tenant has been in delinquency most of the last two years and this is the first written notice that has been sent out. Although the lease permits the CDA to request additional financial information and requires the tenant to provide proof of insurance each year, these provisions have not been enforced.*

4. **Unauthorized Transfer of Funds:** *The CDA transferred funds from its savings account to its operating account to cover normal operating expenses. It is my understanding that a vote of the CDA Board is required to make such a transfer, and I find no record of such a vote.*
5. **Unbudgeted Legal Expenses:** *On several occasions, members of the CDA Board have reached out for legal opinion with no authorization from the Board and no operating funds to cover the expense.*
6. **Operating Deficit:** *The monthly amount due to the CDA to keep current with rent and the CRDC loan is approximately \$2,042. The monthly net income for the CDA overall is \$1,149, which includes the 56 Opera House Square revenue. Without the 56 Opera House Square revenue (the delinquencies), the monthly net income for the CDA is - \$893. These figures are based on the CDA's December Profit & Loss Statement provided by their bookkeeper. The CDA is running in the red and drawing down on their limited resources each month to compensate. This is not sustainable.*

Conclusion:

It is my desire to see the CDA be successful in its mission to encourage development within the City. However, the way it operates and its failure to effectively deal with a problematic tenant has seriously compromised the CDA. Although I have attended meetings and given input, I am only an ex-officio member of the CDA Board and therefore do not participate in votes. I have worked with former Director Merrill and current CDA Chairman Andre Lafreniere to the extent I am able, and in hopes of moving the CDA forward in a positive direction.

However, I have not seen significant positive movement and have serious concerns over the CDA's ability to continue in a financially viable manner. The CDA is a City Council formed and appointed Board, and it may be prudent for the City Council to take action to stabilize the CDA and protect its assets from further depletion.

Some actions could be:

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1. *Move the bookkeeping function for the CDA under the City's Finance Office to provide more oversight and reporting consistent with other City departments.*
2. *Schedule a joint meeting with City Council and the CDA Board of Directors to discuss the current situation and next steps.*
3. *Seek legal advice regarding implications should the CDA become unable to continue operations.*

It is with a heaviness that I write this memo, but I feel as the City Manager, and an ex-officio member of the CDA Board, I have a responsibility to report any serious procedural and financial concerns, and any possible negative exposure for the City, to the Council for their consideration.

Manager Bates explained the concerns for the CDA's misapplication of funds, delinquent tenant, and their operating deficit and asked the Council to discuss next steps.

Councilor Hemingway asked if the CDA's finances should be brought into the City's purview.

Manager Bates noted that's an added load to the finance department, our treasurer is custodian of their funds and NHPDIP so she could not be the bookkeeper.

Assistant Mayor Matteau has concerns the CDA uses the City's EIN and would prefer it if they had their own.

Manager Bates relayed this came into play recently with NBRC grants.

Councilor Cogswell does not believe the CDA or any government board should be operating independently of the City.

Councilor O'Hearne asked how much back pay is owed from the tenant and how long they have been delinquent.

Manager Bates stated it is a little over \$8,000.00 behind on rent, loan and tax payment, and the CDA did not have enough in their operating accounts and moved money from their PDIP accounts with no mention or vote from the board.

Councilor Koloski shared another concern for the board contacting legal without voting, and wants a detailed report or presentation from CDA, then asked about one of the tenants CDS grant.

Manager Bates stated the grant was awarded to one of their tenants for revitalization; it has been awarded but there is no proof of it being funded.

A motion was made by Councilor Hemingway to suspend the CDA for 60 days.

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Manager Bates mentioned the Council does not have authority to suspend the CDA but is asking to cancel the next two meetings.

Mayor Girard noted having a good conversation with CDA today – they chose not to have their next two meetings and wants to make council aware there hasn't been a lot of guidance for operations and truly doesn't believe the Council needs to suspend members – this board is very much understanding the need to make adjustments.

Manager Bates will reach out to the CDA in hopes of having a meeting with the Council for a presentation on their on-going issues and possible solutions.

Department Goals and Objectives

Manager Bates is asking the Council to create goals and objectives before entering into FY27 budgetary process so the department goals can align.

Manager Bates has been given a generous offer by another City Manager for their Deputy City Manager to come work with the Council, he has done this for a long time and worked with Primex for many years before moving into the deputy city manager role. The offer is a half day of his time to work with Claremont City Council and is requesting Council to give direction if they are interested in moving forward with the offer.

By consensus Council agrees, its noted a workday avoiding Thursday would be preferred, with notice.

Report of the Water Sewer Study Rate Committee

Manager Bates previously requested the Council form an ad hoc committee for the Water Sewer Rates. The City received four bids, at the first meeting bids were reviewed and narrowed it down to two. The second meeting was follow-up and a decision to go with Raftelis.

Identity Theft Prevention Program

Motion to Approve Identity Theft Prevention Program

The Claremont City Council, pursuant to the "Fair and Accurate Credit Transactions Act of 2003," the "Red Flag Clarification Act of 2010" and Federal Regulation Title 16 Part 681, hereby approves the City of Claremont Identity Theft Prevention Program and authorizes the City Manager or her designees to take such actions as may be necessary to implement said

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Identity Theft Prevention Program in accordance with applicable federal and state law and regulation.

A motion was made by Councilor O’Hearne and seconded by Assistant Mayor Matteau to approve the Identity Theft Program.

Roll call vote:

O’Hearne – yes

Cogswell – yes

Greenrose – yes

Matteau – yes

Koloski – yes

Limoges – yes

Hemingway – yes

Irish - yes

Girard – yes

Motion carried 9-0

Fund Balance Policy

Motion to Adopt Revised Fund Balance Policy

The Claremont City Council, in accordance with Governmental Accounting Standards Board Statement (GASB) 54, *Fund Balance Reporting and Governmental Fund Types Definitions*, hereby adopts the revised Fund Balance Policy and authorizes the City Manager or her designees to take such actions as may be necessary to implement said Fund Balance Policy in accordance with applicable federal and state law, regulation and policy.

A motion was made by Councilor Cogswell and seconded by Councilor Limoges to adopt the revised Fund Balance Policy.

Roll call vote:

O’Hearne – yes

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Cogswell – yes
Greenrose – yes
Matteau – yes
Koloski – yes
Limoges – yes
Hemingway – yes
Irish - yes
Girard – yes
Motion carried 9-0

Investment Policy

Motion to Adopt City Investment Policy

The Claremont City Council, pursuant to RSA 47:6 and RSA 48:16, hereby re-adopts the City of Claremont Investment Policy and authorizes the City Manager or her designees to take such actions as may be necessary to implement said Investment Policy in accordance with state law and regulation.

A motion was made by Councilor O’Hearne and seconded by Assistant Mayor Matteau to adopt the Cit Investment Policy.

Roll call vote:
O’Hearne – yes
Cogswell – yes
Greenrose – yes
Matteau – yes
Koloski – yes
Limoges – yes
Hemingway – yes
Irish - yes
Girard – yes
Motion carried 9-0

Policy Committee Discussion

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Councilor Irish started the conversation by stating the policy committee should be reviewing policies continuously, and the Ordinance stated the Policy Committee is responsible for reviewing the City Code.

Councilor Hemingway stated the committee should convene as needed.

Assistant Mayor Matteau shared concerns with staff support and thinks it should wait until major positions are filled.

Mayor Girard noted the policy committee has never been designed to look at individual departments, but outdated ordinances on Muni-code.

Councilor Limoges is in favor of an ad-hoc committee with clear direction from Council.

A motion was made by Councilor Koloski and seconded by Assistant Mayor Matteau to disband the policy committee effective immediately.

Manager Bates agrees there is a lack of staff to support. However, if a Councilor sees an ordinance that needs to be updated it can always be brought up at Council under future agenda items.

Roll call:

**O’Hearne – no
Cogswell – no
Greenrose – no
Matteau – yes
Koloski – no
Limoges – yes
Hemingway –yes
Irish - no
Girard – yes
Motion failed 4-5**

A motion was made by Councilor O’Hearne and seconded by Councilor Limoges to reconsider the motion.

Roll call:

**O’Hearne – yes
Cogswell – no
Greenrose – no
Matteau – yes
Koloski – no
Limoges – yes**

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Hemingway –yes
Irish - yes
Girard – yes
Motion Carried 6-3

*Reconsidered motion***

A motion was made by Councilor Koloski and seconded by Assistant Mayor Matteau to disband the policy committee effective immediately.

Roll call:
O’Hearne – yes
Cogswell – no
Greenrose – no
Matteau – yes
Koloski – no
Limoges – yes
Hemingway –yes
Irish - no
Girard – yes
Motion Carried 5-4

COMMITTEE REPORTS

Councilor Cogswell reported on the EPA and noted Todd Bridges from Weston and Sampson presented clean-up activity and the want of a risk assessment on the land for future use. The committee is in need of help as they had a resignation.

Assistant Mayor Matteau reported the Planning Board approved a site plan for Aroma Joes there will be a drive through, and discussions on the master plan update encouraging citizen involvement.

Councilor Koloski reported the Arts committee has a collection box to raise a goal of \$550 for the first step in the Eagle statue restoration. The Winter in Claremont exhibit will go through the end of March, and a new Facebook launched for the commission.

Councilor Irish thanked Councilor Greenrose on the template design for the Procurement Policy.

FUTURE AGENDA ITEMS AND DIRECTIVES

Councilor Koloski asked for a surplus asset policy update on how the City retires equipment.

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Councilor O’Hearne noted there were lights out on opposite sides of the rotary and over by City Manager’s window.

Councilor Koloski stated the flagpole and soldier in middle is continually not illuminating at night. The Washington St. intersection at Moody and Washington is recessing into the ground, and a citizen request for a Charlestown Road speed change

Councilor O’Hearne brought up concerns for the school speed limit sign to be corrected.

Manager Bates noted this was brought up at the last Traffic Advisory Board meeting and will be meeting with the school in the near future.

CONSULTATION WITH LEGAL COUNSEL

None.

ADJOURNMENT

At 9:22 p.m., a motion was made by Assistant Mayor Matteau and seconded by Councilor O’Hearne to adjourn.

Voice vote:

O’Hearne – yes

Cogswell – yes

Greenrose – yes

Matteau – yes

Koloski – yes

Limoges – yes

Hemingway – yes

Irish - yes

Girard – yes

Motion carried 9-0

Respectfully Submitted,

Julia A. Bizzarro
Clerk to the Council